

Category Decisions Playbook

From analysis to action — what to reduce, keep, grow and investigate before the supplier review

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Calibo AI Academy Path 2 · KLU Batch · MUC01 Category Intelligence

Source data: MUC01_Retail_Sales_Dataset.csv — 107,836 transactions · 12 stores, 6 cities · 1 Jan – 30 Jun 2026
· ₹45.98 Cr revenue

How to read this document

- **Every figure is reproducible.** The *Source* column points either to a step of the main notebook (Group10_MUC01_KLU_Notebook.ipynb, Steps 6.1–6.5) or to a section of Group10_MUC01_KLU_Decisions_Calculations.ipynb (C1–C8).
- **Findings vs proposals.** Numbers are findings from the data. Stock buffers, targets, deadlines and the 10% discount cap are **proposed management choices** — clearly labelled — not results the data proves.
- **Revenue, not profit.** The data has no product cost. "Falling" or "growing" refers to revenue and units; profit must be confirmed with margin data before any permanent delisting. Hence: reduce first, delist later.
- **Trend measures.** Jan → Jun compares the first and last month. Q2 vs Q1 compares April–June with January–March totals and is less sensitive to a single unusual month.

1. All decisions at a glance

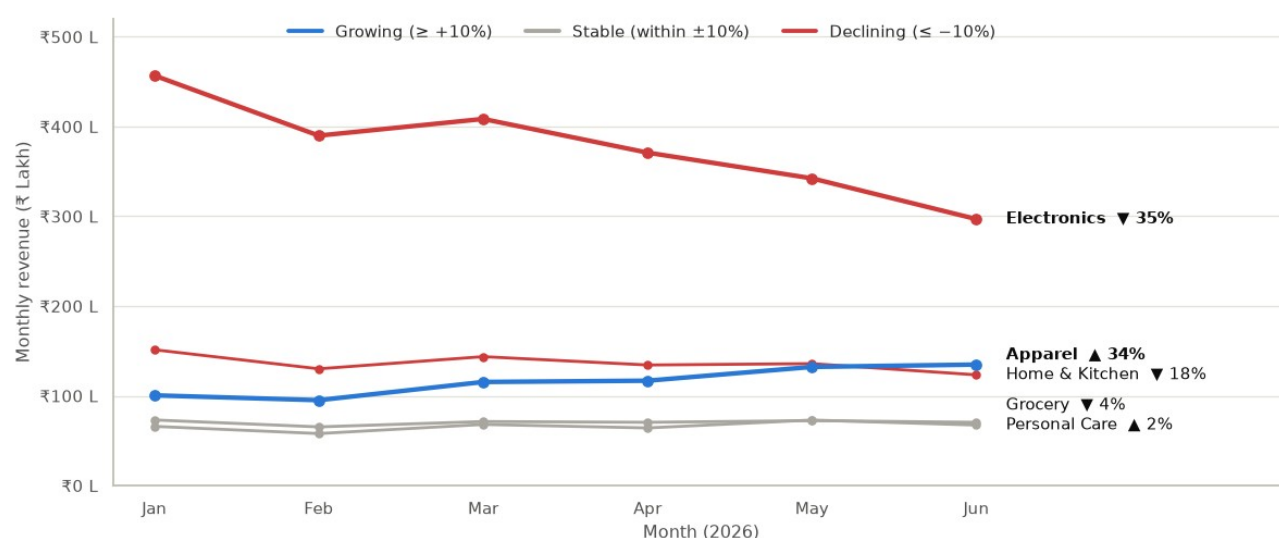
#	Decision	Action	Basis	Source
1	Give Apparel more shelf space and stock	GROW	Finding	6.2, C1
2	Ask the Electronics supplier to explain the decline before renewing shelf space and promotional funding	CHALLENGE	Finding	6.2, 6.3, C8
3	Reduce Mobile Phone and Tablet orders and shelf space; consider delisting only if Q3 does not recover	REDUCE	Finding + proposal	6.3, C2
4	Reduce Laptop and Smart TV orders to recent sales levels	REDUCE	Finding + proposal	C2
5	Keep Headphones — the mildest Electronics decline	KEEP	Finding	C2
6	Reduce Dinner Set, Mixer Grinder and Water Bottle orders	REDUCE	Finding + proposal	C2
7	Keep Pressure Cooker and Storage Box (flat quarter on quarter)	KEEP	Finding	C2
8	Increase Apparel stock — Jeans and T-Shirt first	STOCK UP	Finding + proposal	C2
9	Hold Grocery; maintain availability	HOLD	Finding	6.2, C1
10	Keep Personal Care; plan Sunscreen as possibly seasonal	KEEP	Finding	C2
11	Trial a 10% cap on store-funded discounts; deeper discounts supplier-funded	LIMIT DISCOUNTS	Proposal to test	6.4, C5
12	Test weekday (Mon–Thu) promotions against a control	TEST	Proposal to test	6.5, C6
13	Allocate extra Apparel stock to Guntur, Kakinada and Tirupati first	ALLOCATE	Finding + proposal	C3
14	Investigate S07 Tirupati; learn from S12 Kakinada	INVESTIGATE	Finding	C4

#	Decision	Action	Basis	Source
15	Obtain product cost / margin data before any final delisting	GET DATA	Requirement	—

2. Category decisions

Electronics revenue fell 35% from January to June — Apparel rose 34%

Monthly revenue by category, Jan–Jun 2026. % = change from January to June.



Monthly revenue by category, Jan–Jun 2026 (main notebook, Step 6.2).

Category	6-month revenue	Share	Jan → Jun	Q2 vs Q1	Discount given	Decision
Apparel	₹6.95 Cr	15%	+34%	+23%	₹53.7 L	GROW
Electronics	₹22.65 Cr	49%	−35%	−20%	₹175.7 L	CHALLENGE
Home & Kitchen	₹8.18 Cr	18%	−18%	−7%	₹62.9 L	WATCH
Grocery	₹4.23 Cr	9%	−4%	+2%	₹33.1 L	HOLD
Personal Care	₹3.96 Cr	9%	+2%	+7%	₹30.7 L	KEEP

Source: C1.

Apparel — GROW (more shelf space and stock)

Evidence: Revenue ₹1.01 Cr (Jan) → ₹1.35 Cr (Jun), +34%; Q2 vs Q1 +23%. Recorded transactions +31% (2,233 → 2,931) with average price unchanged; customer and seasonal data are needed to explain the increase. All five products grew, and Apparel units grew in all six cities (C3). *Sources:* 6.2, C1, C3, C8.

Action: Move display space from falling Electronics and Home & Kitchen products to Apparel; ask the supplier for stock depth and faster replenishment. No additional discounts are proposed.

Illustration: If June's revenue simply repeated for six months, Apparel would earn ≈ ₹8.09 Cr versus ₹6.95 Cr in the first half (C7) — arithmetic, not a forecast.

Check: Part of the growth may be seasonal; compare with last year's sales when available.

Electronics — CHALLENGE the supplier

Evidence: Revenue ₹4.57 Cr (Jan) → ₹2.97 Cr (Jun), −35%; June was ₹1.60 Cr below January. Electronics is 49% of revenue, and its fall is larger than the chain's whole decline (the other four

categories grew 1.3%). Transactions fell 33% while average unit price moved –2% (C8). The data does not establish whether the cause is stock availability, competition, pricing or customer demand. All five products declined, despite ₹1.76 Cr of discounts. *Sources: 6.2, 6.3, C1, C8.*

Action: Investigate range, availability and price competitiveness with the supplier before deciding the corrective action; pause additional promotional funding until an explanation and plan are agreed.

Proposed target: one quarter (Jul-Sep) to stop the decline and return monthly revenue above ₹3.5 Cr; if missed, reallocate shelf space to Apparel. *Proposed management choice — not a finding established by the data.*

Illustration: If June's revenue repeated for six months, Electronics would earn $\approx$ ₹17.8 Cr versus ₹22.65 Cr in the first half (C7).

Why not exit the category: it remains the largest category and may carry strong margin; the proposal is to fix or shrink, not remove.

Home & Kitchen — WATCH

Evidence: –18% Jan → Jun and transactions –20%, but only –7% Q2 vs Q1, with two products essentially flat. *Sources: C1, C2, C8.*

Action: Reduce orders on the three falling products, keep the two stable ones (Section 3), review next quarter.

Grocery — HOLD

Evidence: 9% of revenue and half of all recorded transactions; its contribution to customer visits cannot be established here. Grocery has the lowest coefficient of variation in monthly revenue (3.9%); every product is within $\pm 3\%$ Q2 vs Q1. *Sources: 6.1, 6.2, C2.*

Action: No cuts and no extra investment; maintain availability at the six-month average ($\approx$ 4,650–4,720 units per product per month, C2).

Personal Care — KEEP

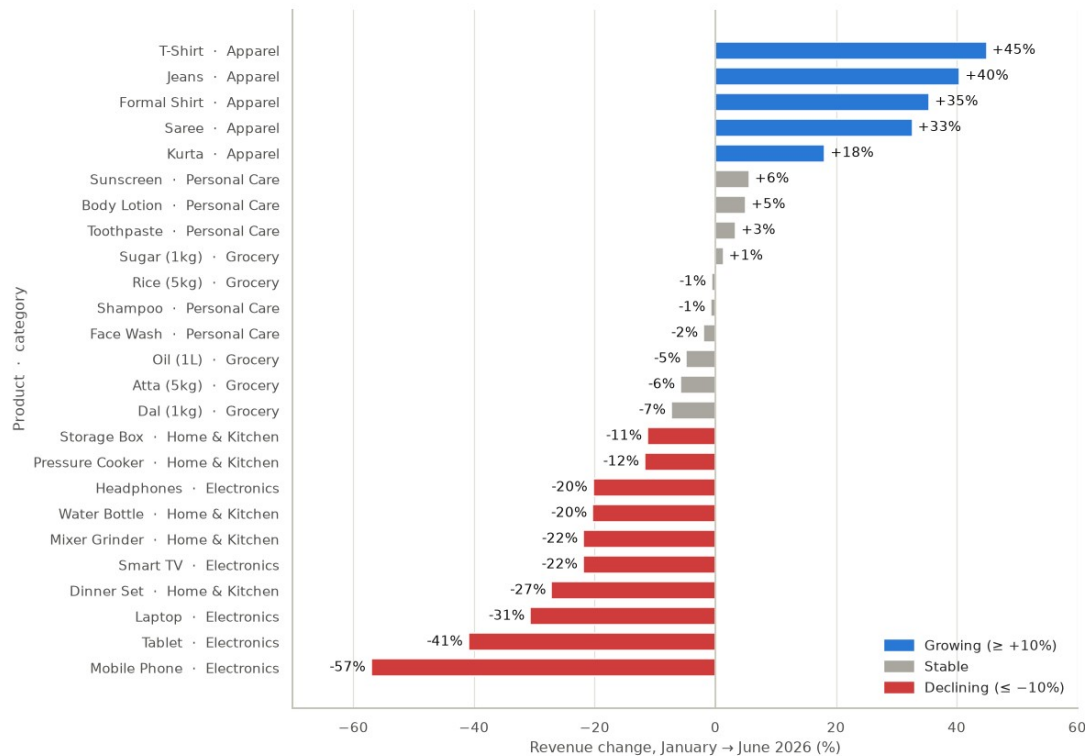
Evidence: +2% Jan → Jun; all five products grew Q2 vs Q1 (+3% to +10%). *Source: C2.*

Action: Small stock increases for Toothpaste (+10%) and Body Lotion (+7%). Sunscreen (+7.5%) may be seasonal; avoid carrying extra stock past summer.

3. Product decisions — all 25 products

Mobile Phone revenue fell 57% — the worst of all 25 products

Every Electronics and Home & Kitchen product is shrinking; every Apparel product is growing.



Revenue change Jan → Jun for every product (main notebook, Step 6.3).

Rev Q2 vs Q1 = April–June vs January–March revenue. Units Jan → Jun = units sold in January vs June. Source for every row: C2.

Category	Product	Rev Q2 vs Q1	Units Jan → Jun	Decision	Reason
Apparel	Jeans	+32%	1,098 → 1,529 (+39%)	STOCK UP (first)	Fastest revenue growth
Apparel	T-Shirt	+30%	1,136 → 1,521 (+34%)	STOCK UP (first)	Highest Jan → Jun growth (+45% revenue)
Apparel	Saree	+20%	1,149 → 1,548 (+35%)	STOCK UP	#1 Apparel product by revenue
Apparel	Formal Shirt	+18%	1,169 → 1,589 (+36%)	STOCK UP	June was its highest month
Apparel	Kurta	+18%	1,126 → 1,414 (+26%)	STOCK UP (moderate)	Slowest Apparel growth
Electronics	Tablet	–30%	448 → 263 (–41%)	REDUCE; delist watch	Largest Q2 vs Q1 fall of all 25; Electronics bottom 2
Electronics	Mobile Phone	–27%	421 → 213 (–49%)	REDUCE; delist watch	–57% revenue; June units –37% vs May
Electronics	Smart TV	–19%	337 → 277 (–18%)	REDUCE	Lowest Electronics revenue (₹418.8 L)
Electronics	Laptop	–14%	423 → 273 (–36%)	REDUCE	Most discount of any product (₹39.6 L)
Electronics	Headphones	–6%	403 → 305 (–24%)	KEEP	#1 Electronics product; mildest decline
Home & Kitchen	Mixer Grinder	–14%	823 → 681 (–17%)	REDUCE	Largest H&K quarterly fall

Category	Product	Rev Q2 vs Q1	Units Jan → Jun	Decision	Reason
Home & Kitchen	Dinner Set	−11%	776 → 570 (−27%)	REDUCE	June was its lowest month
Home & Kitchen	Water Bottle	−8%	854 → 633 (−26%)	REDUCE (slight)	Gradual decline
Home & Kitchen	Storage Box	−2%	843 → 711 (−16%)	KEEP	Flat quarter on quarter
Home & Kitchen	Pressure Cooker	−1%	730 → 654 (−10%)	KEEP	Most stable H&K product
Grocery	Rice (5kg)	+2.6%	4,834 → 4,845	HOLD	Stable
Grocery	Oil (1L)	+2.6%	4,900 → 4,666	HOLD	Stable
Grocery	Dal (1kg)	+2.0%	4,945 → 4,610	HOLD	Stable
Grocery	Sugar (1kg)	+1.2%	4,555 → 4,573	HOLD	Stable
Grocery	Atta (5kg)	+0.1%	5,007 → 4,656	HOLD	Stable
Personal Care	Toothpaste	+10.0%	2,198 → 2,228	KEEP (+ small increase)	Largest Personal Care growth
Personal Care	Sunscreen	+7.5%	2,143 → 2,298	KEEP (seasonal?)	Possibly summer demand
Personal Care	Body Lotion	+6.9%	2,199 → 2,288	KEEP (+ small increase)	Growing steadily
Personal Care	Shampoo	+6.0%	2,352 → 2,345	KEEP	#1 Personal Care by revenue
Personal Care	Face Wash	+2.8%	2,255 → 2,204	KEEP	Stable

Mobile Phone — reduce now, delist only if there is no recovery

- **Evidence:** revenue ₹98.0 L (Jan) → ₹42.1 L (Jun), −57%; units 421 → 213, and June units were 37% below May. It ranks 3rd of 5 by six-month total, so a top/bottom-by-total table alone would not flag it. *Sources: 6.3, C2.*
- **Proposed action:** order close to the recent sales level ($\approx$ 210–220 units/month) rather than January's 421, and reduce its shelf space in favour of Apparel. *Proposed management choice — not a finding established by the data.*
- **Proposed deadline:** if Q3 sales keep falling, consider delisting the weakest models — it still earned ₹42.1 L in June, so shrink rather than remove overnight.

Tablet — reduce now, delist watch

- **Evidence:** largest Q2 vs Q1 fall of all 25 products (−30%); units 448 → 263; in the Electronics bottom 2 by total (₹447.4 L). *Sources: 6.3, C2.*
- **Proposed action:** order close to $\approx$ 260 units/month, reduce shelf space, review in Q3. *Proposed management choice — not a finding established by the data.*

Headphones — keep

- **Evidence:** the #1 Electronics product (₹477.0 L) with the mildest decline (−6% Q2 vs Q1). *Source: C2.*
- **Proposed action:** if Electronics space is reduced, reduce Tablet and Mobile Phone space first.

4. Stock (inventory) rules — proposed management choices

These rules are **proposals for the Category Manager to adopt, test and adjust** — the data shows recent sales levels (C2), not the right buffer or order quantity.

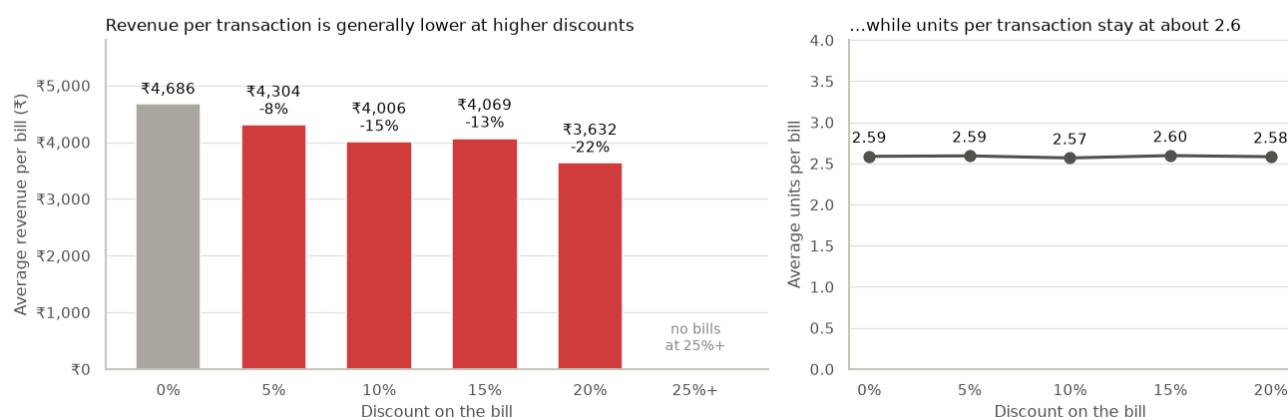
Product group	Proposed rule	Example (recent level from C2)
Growing — all Apparel	Plan next month at June units + $\approx 10\%$ buffer; review monthly	Jeans sold 1,529 in June $\rightarrow$ plan $\approx 1,680$
Falling — Tablet, Mobile Phone, Laptop, Smart TV, Dinner Set, Mixer Grinder, Water Bottle	Plan close to June's level, no buffer	Mobile Phone sold 213 in June $\rightarrow$ plan ≈ 210 –220
Stable — Grocery, Personal Care, Headphones, Pressure Cooker, Storage Box	Plan at the six-month average	Rice (5kg) $\approx 4,720$ units per month

Rationale: ordering well above recent sales ties up cash in stock that may not sell; ordering below recent sales risks empty shelves. The 10% buffer is an assumption to review after each month, not a data-derived figure.

5. Discount decisions

Higher discounts: lower revenue per transaction, similar units

A 20%-off transaction averages ₹3,632 vs ₹4,686 at full price (-22%), with approximately unchanged units.



Average pre-discount unit price is similar across brackets (₹1,747–₹1,815); product mix and other differences may still contribute to the gap.

Revenue per transaction is generally lower at higher discounts, while units stay at about 2.6 (main notebook, Step 6.4).

Discount	Transactions	Revenue per transaction	vs full price	Units per transaction	Discount given
0%	36,033	₹4,686	—	2.59	₹0
5%	23,922	₹4,304	-8%	2.59	₹54.2 L
10%	23,810	₹4,006	-15%	2.57	₹106.0 L
15%	11,935	₹4,069	-13%	2.60	₹85.7 L
20%	12,136	₹3,632	-22%	2.58	₹110.2 L
25%+	0	no transactions	—	—	₹0

Source: main notebook, Step 6.4.

What the data shows

Higher discounts are associated with lower revenue per transaction without a meaningful increase in units per transaction. This supports challenging deeper discounts, but does not establish their effect on total demand or profit. The pattern holds within every category (-19% to -21% per transaction at 20% off). Average pre-discount price is similar across brackets, but product mix and other differences may still contribute. ₹3.56 Cr of discounts were recorded in six months, ₹1.76 Cr on Electronics. Sources: 6.4, C1.

Trial a 10% cap on store-funded discounts — proposal to test

Proposal: maximum 10% from store margin; 15–20% only when the supplier funds the difference and it is tied to a volume target. *Proposed management choice — not a finding established by the data.*

Illustration: 24,071 transactions had 15% or 20% off; at 10%, ≈ ₹83.7 L of discount (₹42.0 L in Electronics) would not have been given (C5). This assumes the same transactions would still occur, which the data cannot confirm.

Test weekday promotions — proposal to test

Evidence: Saturday averages ₹35.2 L/day vs Monday ₹20.1 L/day (+75%); ₹1.32 Cr of discounts were recorded on Saturdays and Sundays; every category sells 36–38% of its units at weekends. *Sources: 6.5, C6.*

Proposal: strong weekend sales suggest testing Monday–Thursday promotions; the incremental impact of promotions remains unmeasured.

How to test: run a weekday-only promotion in two stores for four weeks and compare transactions with two similar stores without it.

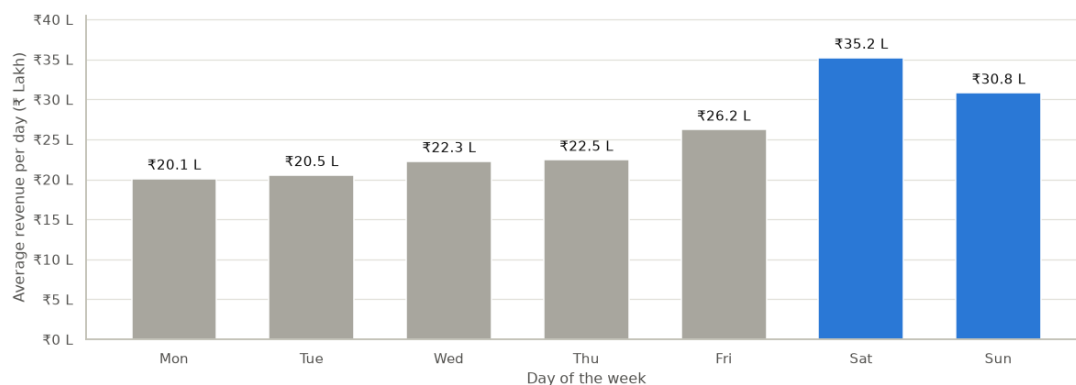
No additional Electronics discounts until the review is complete

Evidence: ₹1.76 Cr of Electronics discounts coincided with a 33% fall in transactions (C1, C8). Whether range, availability, price or demand drives the decline should be established before more discount money is committed.

6. City and store decisions

Saturday brings in 75% more revenue than Monday

Average chain revenue per day. Weekends (blue) carry the week; Monday–Thursday are the quiet days.



Average chain revenue per day (main notebook, Step 6.5).

Allocate extra Apparel stock to the fastest-growing cities first

City	Apparel units Q1	Apparel units Q2	Growth	Proposed priority
Guntur	3,452	4,471	+30%	1st
Kakinada	1,997	2,542	+27%	2nd
Tirupati	3,251	4,019	+24%	3rd
Nellore	2,268	2,744	+21%	—
Rajahmundry	2,720	3,277	+20%	—
Vijayawada	4,001	4,714	+18%	Largest volume, slowest growth

Source: C3. Priority order is a proposed choice.

Investigate the weakest store, learn from the strongest

Store	Revenue Q2 vs Q1	Electronics Q2 vs Q1	Decision
S07 Tirupati	−17.9% (weakest)	−33.6% (weakest)	INVESTIGATE — local competition, stock gaps, staffing?
S02 Vijayawada	−11.8%	−25.9%	INVESTIGATE
S12 Kakinada	+15.8% (strongest)	+20.5% (grew)	LEARN — what differs in this store?
S05 Rajahmundry	+3.7%	−0.3% (held)	LEARN
S09 Nellore	+0.6%	−8.3%	KEEP

Source: C4. Electronics revenue fell in every city from January to June (6.3), yet two stores held or grew Electronics in Q2. Understanding why could inform the weaker stores; avoid cutting Electronics space in S12 and S05 until this is understood.

7. Supplier meeting positions

Supplier	Likely request	Our position	Our ask
Electronics	More promotional money	Not until the decline is explained — revenue fell 35% despite ₹1.76 Cr of discounts	Explain range, availability and pricing; recovery plan within one quarter (proposed); fund discounts above 10%
Apparel	More shelf space	Yes — revenue +34%, all five products growing	Stock depth and fast replenishment, especially Jeans and T-Shirt
Home & Kitchen	Keep current space	Hold for now; reduced orders on three products	Explain Dinner Set and Mixer Grinder declines; range updates
Grocery	Terms support	Stable category — keep terms	Maintain availability
Personal Care	More space	Small increase only	Joint seasonal plan for Sunscreen

8. Decisions not to take yet

Do not decide yet	Why	Data needed
Fully delist Mobile Phone or Tablet	Still ₹42–58 L per month (June); profitability unknown	Product cost / margin
Remove all discounts	Effect on customer numbers is unmeasured	Footfall + the weekday test
Heavily shrink Electronics	May still be the most profitable use of shelf space	Margin + shelf-space data
Stock Apparel up for the full year	Growth may be partly seasonal	Last year's sales
Attribute the Electronics fall to one cause	Stock, competition, pricing or demand are all possible	Stock, competitor and online price data

9. Proposed 30-day action plan

When	Action
Week 1	Supplier review: ask Electronics to explain the decline; agree additional Apparel space; announce the 10% cap as a trial.
Week 1	Reset reorder quantities using the proposed stock rules (Section 4).
Week 2	Move shelf space from Tablet and Mobile Phone to Apparel (Jeans and T-Shirt first); send extra Apparel stock to Guntur, Kakinada, Tirupati.
Week 2	Start planning the weekday promotion test and its control stores.
Weeks 2–3	Visit S07 Tirupati and S12 Kakinada to identify what differs.
Week 3	Launch the four-week weekday promotion test in two stores.
Week 4	Obtain product cost / margin data; review July sales against these decisions.

The plan and its timings are proposed management choices.

10. Key figures and illustrations

Figure	Value	Type	Source
Electronics June revenue vs January	₹1.60 Cr lower (₹4.57 Cr → ₹2.97 Cr)	Finding	6.2
Mobile Phone June revenue vs January	₹55.9 L lower (₹98.0 L → ₹42.1 L)	Finding	6.3, C2
Discounts recorded in six months	₹3.56 Cr (₹1.76 Cr Electronics)	Finding	6.4, C1
Discounts recorded on weekends	₹1.32 Cr	Finding	C6
Discount not given under a 10% cap	≈ ₹83.7 L (same transactions assumed)	Illustration	C5
Electronics, June revenue × 6 vs first half	≈ ₹4.8 Cr lower	Illustration	C7
Apparel, June revenue × 6 vs first half	≈ ₹1.1 Cr higher	Illustration	C7

In one line: reduce what is falling (Mobile Phone, Tablet), stock what is growing (Jeans, T-Shirt), hold what is stable (Grocery), and test — rather than assume — the value of deeper discounts.